FutureProof Financial

Regional Regulatory Readiness

What it takes to launch the Equity Preservation Mortgage in

Australia, New Zealand, the United Kingdom and the United States

BOARD BRIEFING — INTERNAL

The Equity Preservation Mortgage (EPM) is a **mortgage, not a loan the customer repays**. The customer receives a guaranteed income and makes no repayments; the lender and its funders carry the investment risk. Because that structure is genuinely new, the first regulatory question in every market is the same — *"what is this product?"* In all four markets it sits closest to equity-release / reverse-mortgage rules and can be operated inside existing credit and mortgage regimes. **None of the requirements in this briefing challenge the model.** They are executional: a classification ruling, the right licence, and locally-correct disclosure and contracts before we can sign a customer.

Three things decide how fast we can open each market:

- **Classification** — confirming the EPM is treated as a (reverse / lifetime) mortgage rather than a managed investment or security. This is the single biggest variable, and is best settled up front by a regulator ruling, no-action letter, or sandbox engagement.
- **Licensing** — a single national licence in Australia, the UK and New Zealand; state-by-state in the United States.
- **Distribution** — the UK requires every sale through a qualified adviser (no online-only); the other three are more flexible.

1. Readiness at a glance

The regulatory path is defined in all four markets, and nothing is a blocker to the product. The table below is the whole picture on one page; the sections that follow add only what a decision needs.

Market	Regulator(s)	Likely classification & licence we must hold	Hardest single requirement	Setup weight
Australia	ASIC (APRA prudential)	Credit contract under the National Credit Code — **Australian Credit Licence (ACL)**	Confirming it is *credit*, not a managed investment scheme	Medium
New Zealand	FMA, Commerce Commission, RBNZ	Consumer credit contract under the CCCFA — **FSP registration** + dispute scheme (no bespoke lending licence)	CCCFA responsible-lending verification; KiwiSaver conflict	Low
United Kingdom	FCA (PRA prudential)	Lifetime mortgage / equity release (MCOB 12) — **FCA authorisation** (mortgage + investment permissions)	Advised-only sales by CeRER-qualified advisers	High
United States	CFPB, SEC, 50 state regulators	Proprietary (non-FHA) reverse mortgage — **state-by-state NMLS licences**	50-state licensing; avoiding SEC “security” classification	Highest

Recommended entry order: New Zealand and Australia first, then the UK, then the US. New Zealand and Australia authorise fastest and fit existing credit law cleanly; the UK carries the strongest customer proposition (Inheritance-Tax efficiency) but the heaviest setup; the US is the most fragmented and most expensive, and should come last. Weigh this regulatory-effort view against where the commercial opportunity is strongest.

2. What each market requires

Australia

Classification & licence. Almost certainly a credit contract under the National Credit Code, requiring an Australian Credit Licence (held by FutureProof or its lender partners). The live risk is that ASIC instead treats the income stream or investment as a managed investment scheme or financial product (AFSL). Settle this with an ASIC product ruling or no-action letter before launch.

What binds us:

- Responsible lending, adapted to a no-repayment product — the test shifts from repayment affordability to assets, objectives, age, and capacity to meet rates, insurance and maintenance.
- Maximum 80% LVR, independent valuation, annual revaluation with defined trigger points.
- Pre-contractual disclosure (credit guide, key-facts sheet) and 7-year record retention.

Market-specific: EPM income can affect age-pension eligibility and interact with superannuation — this must be assessed and disclosed.

New Zealand

Classification & licence. A consumer credit contract under the CCCFA. New Zealand has no equity-release category and — importantly — no bespoke lending licence: the pathway is registration as a Financial Service Provider plus membership of an approved dispute-resolution scheme. A Financial Advice Provider licence is likely if we advise on the investment component. This is the **lightest-touch path of the four**.

What binds us:

- CCCFA responsible-lending — verify the customer can meet rates, insurance and maintenance (roughly NZ$6k–23k p.a.) from existing plus EPM income.
- Full pre-contractual and continuing disclosure; directors must pass a fit-and-proper assessment.

Market-specific: an EPM can block a KiwiSaver first-home withdrawal — screen and disclose. Special rules apply to Maori freehold land.

United Kingdom

Classification & licence. The closest fit is a lifetime mortgage (equity release) under MCOB 12, requiring FCA authorisation with mortgage and, likely, investment permissions. The consumer-risk-free structure may qualify for expedited review — engage the FCA Innovation Hub / sandbox early.

What binds us:

- **Advised-only sales** — no execution-only or online-only. Every customer must receive advice from an adviser holding the equity-release qualification (CeRER). This shapes the entire UK distribution model.
- Mandatory No Negative Equity Guarantee (the EPM already exceeds it), personalised illustration, and Consumer Duty obligations.

Market-specific — the strongest proposition of any market: the mortgage stands as a liability against the estate, which can reduce Inheritance Tax (40% above the threshold). Confirm the wrapper-level tax treatment with UK counsel before this is used in marketing.

United States

Classification & licence. Structure as a proprietary (non-FHA) reverse mortgage to stay clear of HECM rules; it remains subject to TILA/RESPA and state mortgage law. Licensing is state-by-state through NMLS — the single largest compliance burden of any market. The investment component creates SEC "security" risk under the Howey test; structure so the customer receives income from the mortgage (not investment returns directly) and obtain an SEC opinion or no-action letter.

What binds us:

- NMLS entity and originator licences per state — each with net-worth, surety-bond, FBI-check and continuing-education requirements, renewed annually.
- TILA / TRID disclosures and an independent appraisal on every file.

Market-specific: do not launch nationally. Start with high-value markets — California, New York, Florida and Arizona cover roughly 40% of the target market. Highest cost and longest lead time of the four.

3. Requirements that span all markets

Data residency & security

The UK is the only market that requires data residency (UK GDPR — keep processing within the UK/EEA; EU hosting is acceptable if documented). Australia and New Zealand impose no localisation requirement; the US is state-led, with California (CCPA) the strictest. The efficient approach is to build once to the highest common bar: AES-256 at rest, TLS 1.3 in transit, 7-year audit-trail retention, processor data-processing agreements, and payment handling through a PCI-compliant provider. SOC 2 / ISO 27001 are expected for UK and US operations and for investor due diligence; GDPR compliance is mandatory for the UK.

Breach notification

Market	Notify the regulator within	Regulator
Australia	As soon as practicable (assessment within 30 days)	OAIC
New Zealand	Without undue delay	Privacy Commissioner
United Kingdom	**72 hours**	ICO
United States	State-dependent (California / Massachusetts ~30 days)	State Attorney-General

Build the breach process to the UK 72-hour standard and it satisfies every market.

Tax treatment

Income, capital-gains and inheritance treatment differ materially by market. This is local-counsel territory and must never be presented to customers as tax advice. The one strategic point for the board: the UK Inheritance-Tax efficiency is a genuine differentiator — confirm the specifics (including investment-wrapper treatment) with UK tax counsel before relying on it commercially.

Estate & inheritance

The EPM is **not called due on death**. The home is not force-sold; the estate inherits the investment upside, and the mortgage stands as a liability against the estate. The required estate documentation — will reference, beneficiary options, post-death portfolio management — is straightforward, not a barrier.

Insurance

Buildings insurance and property upkeep remain the customer's responsibility (a disclosure and serviceability point, captured above). Because the customer makes no repayments, traditional mortgage-protection and income-protection insurance are **not relevant** to the EPM — the failure mode they exist to cover does not arise here. Lender-side investment and tail risk is managed through the reinsurance structure, covered in a separate paper.

4. What is done, and what is left

Done (internal). Detailed compliance analysis exists for all four markets, plus a security framework and tax / estate treatment. That work is the substance behind this briefing; it does not need redoing.

Left — the gate to the first customer in any chosen market:

- **External legal sign-off** of the product classification in that market.
- **Regulatory engagement** to lock classification — ASIC ruling / no-action (AU), FCA sandbox (UK), SEC opinion (US), FMA guidance (NZ).
- **Licence / authorisation** — ACL (AU), FCA authorisation (UK), FSP registration (NZ), NMLS state licences (US).
- **Localised contracts, disclosures and illustrations** to the market's rules.
- **Data / security baseline** — encryption, retention, DPAs and breach process — built once to the highest bar.

None of these is a research question. All are execution with known lead times.

5. Recommendation

- **Sequence the markets.** Open New Zealand and Australia first (fastest to authorise, cleanest fit to credit law); follow with the UK (highest-value proposition, but advised-only distribution and FCA authorisation take longer to stand up); take the US last (state-by-state licensing and SEC risk make it the slowest and most expensive).
- **Settle classification early** in each market. It is the one variable that can move timelines by quarters, and it is resolved by a ruling — not by building.
- **Build the data / security and breach baseline once**, to the UK/GDPR bar; it then satisfies every market.
- **Decide the first market now** so external counsel and licensing can start in parallel. That — not the financial model — is the critical path to the first customer.

Prepared for the board from the internal regional compliance analysis (REGIONAL_COMPLIANCE_AUDIT.md and the per-market compliance files). Built 2026-06-03.